Type MS · What shifts the demand curve

Answer 1 of 14 · Question 3 part d · 6 marks

2025 JUN · Paper 01 · extract 1 of 7 · find part d in this mark scheme extract

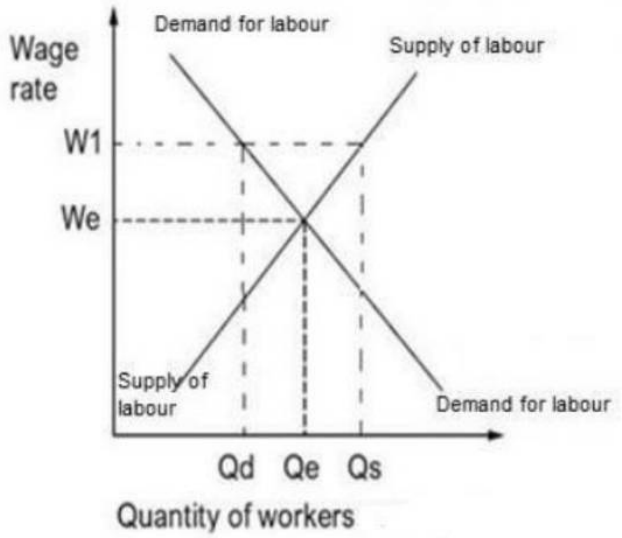
| | | |
|---|---|---|
| **3(a)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**B** Enjoys the benefit of a good but does not pay for it<br><br>A is not correct because a free rider does not pay for the good<br>C is not correct because a free rider does neither of these<br>D is not correct because a free rider does use the good | **(1)** |

| **Question number** | Which **one** of the following is an example of an occupation in the tertiary sector?<br><br>**Answer** | **Mark** |
|---|---|---|
| **3(b)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**C** Hotel receptionist<br><br>A is not correct because this role is in the secondary sector<br>B is not correct because this role is in the primary sector<br>D is not correct because this role produces primary products | **(1)** |

## Type MS · What shifts the demand curve

Answer 1 of 14 · Question 3 part d · 6 marks

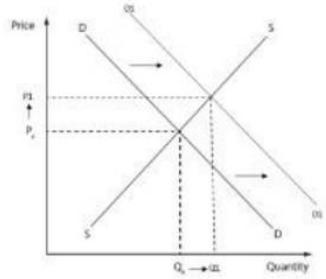
2025 JUN · Paper 01 · extract 2 of 7 · find part d in this mark scheme extract

| Question number | Using the diagram below, draw the effect of a minimum wage ($W_1$) that has been set above the equilibrium wage ($W_e$). Label the new quantity of labour demanded and the new quantity of labour supplied.<br><br>**Answer** | Mark |
|---|---|---|
| 3(c) | **AO2 3 marks**<br><br>Award 1 mark for drawing the new wage rate, labelled<br>Award 1 mark for the new quantity of labour demanded, labelled<br>Award 1 mark for the new quantity of labour supplied, labelled<br><br>  <br> | (3) |

## Type MS · What shifts the demand curve

Answer 1 of 14 · Question 3 part d · 6 marks

2025 JUN · Paper 01 · extract 3 of 7 · find part d in this mark scheme extract

| Question number | With reference to the data above and your knowledge of economics, analyse how the demand curve for Tennis TV subscriptions might have been affected by Amazon Prime ending its streaming service.<br><br>**Indicative content** |
|---|---|
| **3(d)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• A demand curve shows how much of a good will be purchased at different prices<br>• An increase in the price of substitute goods is one of the factors likely to shift a demand curve to the right<br>• Possible use of a diagram:<br>  <br><br>• The end of Amazon Prime's streaming service, means the only substitute is the higher priced service from Sky and it may encourage more customers to demand Tennis TV subscriptions instead, therefore increasing demand<br>• The quantity of Tennis TV subscriptions demanded is likely to have increased (from $Q_e$ to $Q_1$) as a result of the higher priced substitute because customers of tennis subscriptions are likely to want to maximise their benefit by receiving more for their money<br>• Tennis TV may therefore have increased the price of its subscriptions (from $P_e$ to $P_1$) as a result of the increase in demand |

## Type MS · What shifts the demand curve

### Answer 1 of 14 · Question 3 part d · 6 marks

2025 JUN · Paper 01 · extract 4 of 7 · find part d in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

Type MS · What shifts the demand curve

Answer 1 of 14 · Question 3 part d · 6 marks

2025 JUN · Paper 01 · extract 5 of 7 · find part d in this mark scheme extract

| Question number | With reference to the data above and your knowledge of economics, assess the effectiveness of subsidies in dealing with externalities, such as road congestion.<br><br>**Indicative content** |
|---|---|
| 3(e) | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Congestion is an example of a negative externality because it is created by high volumes of traffic and has an external cost, such as pollution, for the people of Sri Lanka<br>• One method of government intervention to reduce negative externalities is to offer subsidies to producers of services, such as SLR providing rail travel<br>• These subsidies will encourage the provision of cheaper and more comfortable rail travel, thus attracting passengers onto the trains and away from the busy roads<br>• The Sri Lankan Government offers these subsidies in an attempt to reduce congestion and therefore reduce the negative externalities to the public in Sri Lanka<br><br>**AO4**<br><br>• However, there is no guarantee that the cheaper rail travel will attract people onto the trains, as the existing railway tracks need upgrading and the trains can be overcrowded<br>• This means that rail travel may be uncomfortable, limiting the demand from passengers even with cheaper ticket prices<br>• As SLR has made a loss of Rs 331bn over the last 10 years, the Sri Lankan Government may need to provide a larger subsidy to cover this loss, as well as paying for the upgrade of the rail service<br>• Other policies may be more effective, such as taxation of vehicles on the road<br>• There may be an opportunity cost of providing the subsidies, such as reduced revenue to cover education and/or health care |

## Type MS · What shifts the demand curve

Answer 1 of 14 · Question 3 part d · 6 marks

2025 JUN · Paper 01 · extract 6 of 7 · find part d in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

Type MS · What shifts the demand curve

Answer 1 of 14 · Question 3 part d · 6 marks

2025 JUN · Paper 01 · extract 7 of 7 · find part d in this mark scheme extract

| **Question number** | Calculate, to two decimal places, the **percentage change in profit** for the firm between 2021 and 2023. You are advised to show your working.<br><br>**Answer** | **Mark** |
|---|---|---|

Type MS · What shifts the demand curve

Answer 2 of 14 · Question 1 part e · 1 mark

2019 JUN · Paper 01 (regional R) · extract 1 of 6 · find part e in this mark scheme extract

| | | |
|---|---|---|
| **1(a)** | **AO1 1 mark**<br><br>A Large firms dominate | **(1)** |

| Question number | Answer | Mark |
|---|---|---|
| **1(b)** | **AO2 1 mark**<br><br>C $ 60 000 | **(1)** |

| Question number | Answer | Mark |
|---|---|---|
| **1(c)** | **AO1 2 marks**<br><br>Award 1 mark for reference to a good for which the rise in demand is proportionally more than that of income and 1 mark for reference to income elasticity of demand being greater than one<br><br>• A good for which income elasticity of demand is greater than 1 **(1)** the proportionate change in demand is greater than the proportionate change in income **(1)**<br>OR<br>• Luxury goods are products that are not essential **(1)** but are highly desired and associated with wealthy people **(1)** | **(2)** |

Type MS · What shifts the demand curve

Answer 2 of 14 · Question 1 part e · 1 mark

2019 JUN · Paper 01 (regional R) · extract 2 of 6 · find part e in this mark scheme extract

| Question number | Answer | Mark |
|---|---|---|
| 1(d) | **AO1 1 mark**<br><br>Award 1 mark for one correct factor<br><br>• Factors of production<br>• Availability of stocks<br>• Spare capacity<br>• Time | **(1)** |

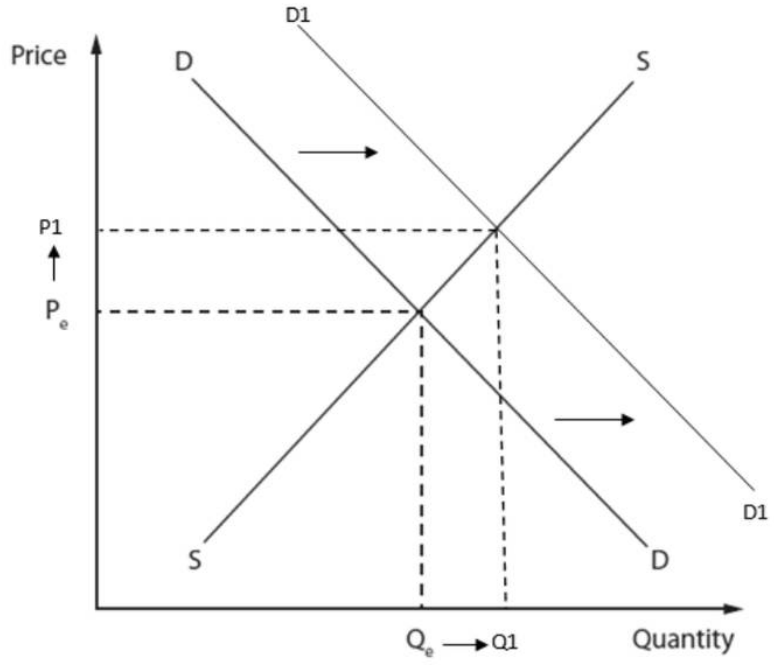
| Question number | Answer | Mark |
|---|---|---|
| 1(e) | **AO1 1 mark**<br><br>Award 1 mark for reference to a good bought as an alternative to another good<br><br>Goods which are used as an alternative to another good | **(1)** |

| Question number | Answer | Mark |
|---|---|---|
| 1(f) | **AO2 2 marks**<br><br>Award 1 mark for showing correct calculation<br>3.9 ÷ 5.2 **(1)**<br><br>Award 1 mark for correct price elasticity of supply (PES)<br>= 0.75 **(1)**<br><br>Award 2 marks if PES is correctly calculated, even if no calculations are shown<br><br>Do not award marks for the formula | **(2)** |

Type MS · What shifts the demand curve

Answer 2 of 14 · Question 1 part e · 1 mark

2019 JUN · Paper 01 (regional R) · extract 3 of 6 · find part e in this mark scheme extract

| Question number | Answer | Mark |
|---|---|---|
| 1(g) | **AO2 3 marks**<br><br>Award 1 mark for rightward shift of demand, labelled<br>Award 1 mark for higher equilibrium price, labelled<br>Award 1 mark for higher equilibrium quantity, labelled<br><br>  <br> | **(3)** |

Type MS · What shifts the demand curve

Answer 2 of 14 · Question 1 part e · 1 mark

2019 JUN · Paper 01 (regional R) · extract 4 of 6 · find part e in this mark scheme extract

| Question number | Answer | Mark |
|---|---|---|
| 1(h) | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant disadvantage<br>Award 1 mark for developing the disadvantage<br>Award 1 mark for the response being in the context of Robert's wood carving business<br><br>• One disadvantage is that the price may be higher **(1)** this is due to a lack of choice **(1)** because there are no other local wood carvers that customers can use **(1)**<br><br>• One disadvantage is that it may take a long time to receive the order **(1)** because Robert is a small business and he is working alone **(1)**, and it takes time for him to make each individual door sign **(1)**<br><br>Accept any other appropriate response | **(3)** |

| Question number | Indicative content |
|---|---|
| 1(i) | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Robert may have decided it could be too time consuming and difficult to obtain additional finance in order to expand<br>• Robert is operating in a niche market, meaning he can specialise in the requirements of his customers rather than mass production<br>• As the door signs and gifts are made to order, and to the requirements of the customer, Robert prefers to stay small and focus on their individual needs<br>• Robert is an entrepreneur and may have different aims to the more typical profit maximisation of some firms<br>• He may feel that working from home, providing a high quality specialised customer service is more important<br>• The size of the market for speciality carvings may not warrant expansion |

Type MS · What shifts the demand curve

Answer 2 of 14 · Question 1 part e · 1 mark

2019 JUN · Paper 01 (regional R) · extract 5 of 6 · find part e in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

## Type MS · What shifts the demand curve

### Answer 2 of 14 · Question 1 part e · 1 mark

2019 JUN · Paper 01 (regional R) · extract 6 of 6 · find part e in this mark scheme extract

| Question number | Answer | Mark |
|---|---|---|

Type MS · What shifts the demand curve

Answer 3 of 14 · Question 2 part e · 1 mark

2019 JUN · Paper 01 · extract 1 of 5 · find part e in this mark scheme extract

| | | |
|---|---|---|
| **2(a)** | **AO1 1 mark**<br><br>**B** What to produce | <br><br>**(1)** |

| Question number | Answer | Mark |
|---|---|---|
| **2(b)** | **AO2 1 mark**<br><br>**C** Y | <br><br>**(1)** |

| Question number | Answer | Mark |
|---|---|---|
| **2(c)** | **AO2 2 marks**<br><br>Award 1 mark for showing correct calculation.<br>-12 ÷ 15 **(1)**<br><br>Award 1 mark for correct price elasticity of demand (PED).<br>= -0.8 **(1)**<br><br>Award 1 mark if students show calculation and put 0.8 without the minus sign<br><br>Award 2 marks if PED is correctly calculated, even if no calculations are shown<br><br>Do not award marks for the formula | <br><br><br><br><br><br><br><br><br><br>**(2)** |

| Question number | Answer | Mark |
|---|---|---|
| **2(d)** | **AO1 1 mark**<br><br>Award 1 mark for reference to an invention or new idea<br><br>An idea which leads to a new product/process | <br><br><br><br>**(1)** |

Type MS · What shifts the demand curve

Answer 3 of 14 · Question 2 part e · 1 mark

2019 JUN · Paper 01 · extract 2 of 5 · find part e in this mark scheme extract

| Question number | Answer | Mark |
|---|---|---|
| 2(e) | **AO1 1 mark**<br><br>Award 1 mark for one correct factor:<br>• a decrease in advertising<br>• a decrease in income<br>• an adverse change in taste and fashion<br>• a decrease in price of substitute goods<br>• an increase in price of complementary goods<br>• a decrease in population<br><br>Accept any other appropriate response | **(1)** |

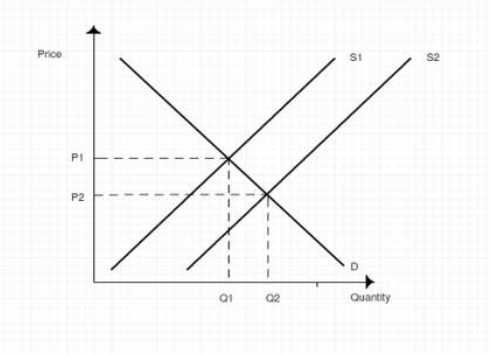
| Question number | Answer | Mark |
|---|---|---|
| 2(f) | **AO1 2 marks**<br><br>Award 1 mark for reference to the advantage and 1 mark for development of the advantage<br><br>• The large number of vehicles competing means there is a lot of choice **(1)** therefore it is easier for passengers to hire an auto rickshaw **(1)**<br><br>Accept any other appropriate response | **(2)** |

| Question number | Answer | Mark |
|---|---|---|
| 2(g) | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant reason for the difference in price<br>Award 1 mark for developing the reason<br>Award 1 mark for the response being in the context of transport in Dhaka<br><br>• One reason is that there are likely to be fewer vehicles competing outside the city centre **(1)** because most of the 17 million people live in the city centre **(1)** and so there is less potential business for the drivers **(1)**<br><br>Accept any other appropriate response | **(3)** |

Type MS · What shifts the demand curve

Answer 3 of 14 · Question 2 part e · 1 mark

2019 JUN · Paper 01 · extract 3 of 5 · find part e in this mark scheme extract

| uestion number | Indicative content |
|---|---|
| 2(h) | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Without the changes in technology, more parking spaces are demanded than supplied and demand is increasing<br>• The introduction of Automated Parking Systems (APS) increases the supply of spaces and so should shift the supply curve to the right<br>• Changes in technology allow the gap between demand and supply to be reduced.<br>• The change in supply will also affect the equilibrium price, making parking cheaper and more available<br>• Thus reducing the shortage of car parking spaces<br>• Possible use of diagram<br>  <br><br><br>**AO4**<br><br>• The increase in the number of vehicles may be faster than the increase in the supply of car parking spaces meaning there is still a shortage<br>• There is already such a large excess in demand that the introduction of APS will not make much difference<br>• It is likely to take time from the initial decision to having the APS in place, meaning the supply curve may not shift straight away<br>• Some motorists do not like change or worry the technology will fail and may be averse to the idea of automated parking, therefore not use the APS |

Type MS · What shifts the demand curve

Answer 3 of 14 · Question 2 part e · 1 mark

2019 JUN · Paper 01 · extract 4 of 5 · find part e in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

## Type MS · What shifts the demand curve

### Answer 3 of 14 · Question 2 part e · 1 mark

2019 JUN · Paper 01 · extract 5 of 5 · find part e in this mark scheme extract

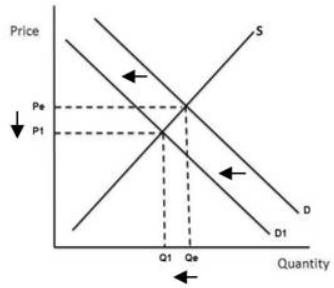
| Question number | Answer | Mark |
|---|---|---|

Type MS · What shifts the demand curve

Answer 4 of 14 · Question 1 part b · 1 mark

2020 NOV · Paper 01 (regional R) · extract 1 of 5 · find part b in this mark scheme extract

| | | |
|---|---|---|
| 1(a) | **AO1 1 mark**<br><br>**B** Secondary | **(1)** |

| Question number | Answer | Mark |
|---|---|---|
| 1(b) | **AO2 1 mark**<br>**C**<br>  | **(1)** |

| Question number | Answer | Mark |
|---|---|---|
| 1(c) | **AO1 2 marks**<br><br>Award 1 mark for reference to multiplying the price of each unit and 1 mark for reference to the number of units sold<br><br>The amount of money a firm receives **(1)** from selling its output **(1)**<br><br>Accept any other appropriate response | **(2)** |

| Question number | Answer | Mark |
|---|---|---|
| 1(d) | **AO1 1 mark**<br><br>Award 1 mark for correct cause<br><br>Better technology/increased efficiency<br><br>Accept any other appropriate response | **(1)** |

Type MS · What shifts the demand curve

Answer 4 of 14 · Question 1 part b · 1 mark

2020 NOV · Paper 01 (regional R) · extract 2 of 5 · find part b in this mark scheme extract

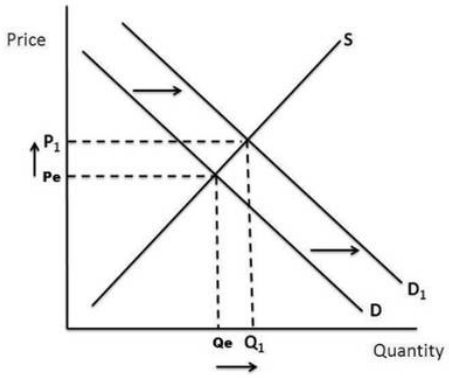
| Question number | Answer | Mark |
|---|---|---|
| 1(e) | **AO1 1 mark**<br><br>Award 1 mark for a correct definition<br><br>A benefit to a third party<br><br>Accept any other appropriate response | **(1)** |

| Question number | Answer | Mark |
|---|---|---|
| 1(f) | **AO2 2 marks**<br><br>Award 1 mark for showing correct calculation<br>6,000 - (1,200 + 1,450 + 1,625) **(1)**<br><br>Award 1 mark for correct excess supply<br>= 1,725 tour guides **(1)**<br><br>Award 2 marks if excess supply is correctly calculated, even if no calculations are shown<br><br>Do not award marks for the formula | **(2)** |

Type MS · What shifts the demand curve

Answer 4 of 14 · Question 1 part b · 1 mark

2020 NOV · Paper 01 (regional R) · extract 3 of 5 · find part b in this mark scheme extract

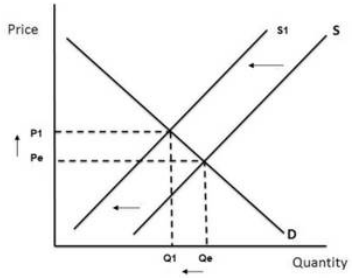
| Question number | Answer | Mark |
|---|---|---|
| 1(g) | **AO2 3 marks**<br><br>Award 1 mark for rightward shift of demand, labelled<br>Award 1 mark for higher equilibrium price, labelled<br>Award 1 mark for higher equilibrium quantity, labelled<br><br>  <br> | (3) |

| Question number | Answer | Mark |
|---|---|---|
| 1(h) | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant advantage<br>Award 1 mark for developing the advantage<br>Award 1 mark for the response being in context<br><br>• One advantage of the takeover may be improved quality **(1)** because Connect Airways may make higher profits **(1)** so it may be able to finance more comfortable airline seats for its passengers **(1)**<br><br>• One advantage may be economies of scale from the link with Virgin **(1)** because the new airline can buy fuel in bulk at a lower cost **(1)** passengers may then benefit from decreased prices **(1)**<br><br>Accept any other appropriate response | (3) |

Type MS · What shifts the demand curve

Answer 4 of 14 · Question 1 part b · 1 mark

2020 NOV · Paper 01 (regional R) · extract 4 of 5 · find part b in this mark scheme extract

| Question number | Indicative content |
|---|---|
| 1(i) | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• The supply curve shows how much of a good that producers are willing and able to supply at different prices over time<br>• Natural factors such as adverse weather could shift the supply curve inwards/to the left<br>• Possible use of a diagram:<br>  <br><br>• Adverse weather such as a typhoon can reduce supply because it can make it more difficult (destroying property, equipment washed away) to supply and more expensive (costing one restaurant owner between HK$300 000 and<br>HK$400 000)<br>• If it is more difficult and/or more expensive to supply (the quantity supplied is likely to shift from Qe to Q1 on the diagram)<br>• This will therefore result in an increase in the price (from Pe to P1) if demand stays the same |

Type MS · What shifts the demand curve

Answer 4 of 14 · Question 1 part b · 1 mark

2020 NOV · Paper 01 (regional R) · extract 5 of 5 · find part b in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | **0** | No rewardable material. |
| Level 1 | **1–2** | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| Level 2 | **3–4** | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| Level 3 | **5–6** | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

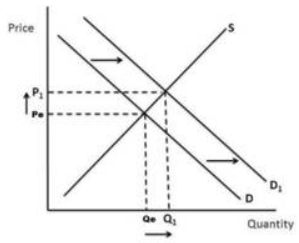
| Question number | Answer | Mark |
|---|---|---|

Type MS · What shifts the demand curve

Answer 5 of 14 · Question 1 part b · 1 mark

2020 NOV · Paper 01 · extract 1 of 4 · find part b in this mark scheme extract

| | | |
|---|---|---|
| 1(a) | **AO1 1 mark**<br><br>**C** Opportunity cost | **(1)** |

| Question number | Answer | Mark |
|---|---|---|
| 1(b) | **AO2 1 mark**<br><br>**B**<br>  <br> | **(1)** |

| Question number | Answer | Mark |
|---|---|---|
| 1(c) | **AO1 2 marks**<br><br>Award 1 mark for reference to a negative impact and 1 mark for reference to third party<br><br>A negative effect **(1)** imposed on a third party **(1)**<br><br>Accept any other appropriate response | **(2)** |

| Question number | Answer | Mark |
|---|---|---|
| 1(d) | **AO1 1 mark**<br><br>Award 1 mark for correct example<br><br>Education/healthcare/vaccination<br><br>Accept any other appropriate response | **(1)** |

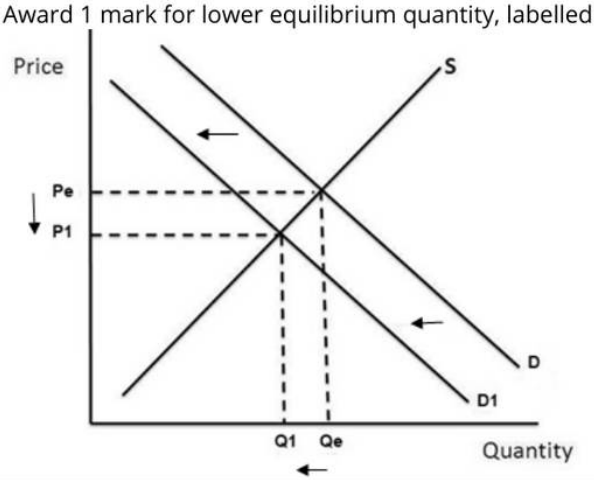
Type MS · What shifts the demand curve

Answer 5 of 14 · Question 1 part b · 1 mark

2020 NOV · Paper 01 · extract 2 of 4 · find part b in this mark scheme extract

| Question number | Answer | Mark |
|---|---|---|
| 1(e) | **AO1 1 mark**<br><br>Award 1 mark for a correct definition<br><br>The desire for goods and services<br><br>Accept any other appropriate response | **(1)** |

| Question number | Answer | Mark |
|---|---|---|
| 1(f) | **AO2 2 marks**<br><br>Award 1 mark for showing correct calculation<br>(3,600 + 3,200 + 3,100) - 9,000 **(1)**<br><br>Award 1 mark for correct excess demand<br>= 900 **(1)**<br><br>Award 2 marks if excess demand is correctly calculated, even if no calculations are shown<br><br>Do not award marks for a formula | **(2)** |

| Question number | Answer | Mark |
|---|---|---|
| 1(g) | **AO2 3 marks**<br><br>Award 1 mark for leftward shift of demand, labelled<br>Award 1 mark for lower equilibrium price, labelled<br>Award 1 mark for lower equilibrium quantity, labelled<br>  <br> | **(3)** |

Type MS · What shifts the demand curve

Answer 5 of 14 · Question 1 part b · 1 mark

2020 NOV · Paper 01 · extract 3 of 4 · find part b in this mark scheme extract

| Question number | Answer | Mark |
|---|---|---|
| 1(h) | **AO2 3 marks**<br><br>Award 1 mark for identifying a barrier to entry<br>Award 1 mark for developing the response<br>Award 1 mark for the response being in context<br><br>• One barrier to entry is economies of scale **(1)** because established larger firms such as Sony and Warner may have lower average costs **(1)** whereas new smaller firms may struggle to keep average costs down **(1)**<br><br>Accept any other appropriate response. | **(3)** |

| Question number | Indicative content |
|---|---|
| 1(i) | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• The four factors of production are land, labour, capital and enterprise<br>• Beans are harvested from coffee plants which means that land is needed to produce coffee<br>• The coffee beans are picked by hand because labour is needed to determine when the fruit is ready to harvest<br>• The process of sorting the beans and transforming them from their natural state to consumable beans, ground or instant products is done by machinery, which is capital. This maybe because is it more productive/cost effective than using labour.<br>• Enterprise combines the other factors of production to make sure the bean gets to the consumer as a consumable product<br>• Thus, all four factors of production may be used to produce coffee as without any one of them the process would not be completed as efficiently |

Type MS · What shifts the demand curve

Answer 5 of 14 · Question 1 part b · 1 mark

2020 NOV · Paper 01 · extract 4 of 4 · find part b in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | **0** | No rewardable material. |
| Level 1 | **1–2** | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| Level 2 | **3–4** | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| Level 3 | **5–6** | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

| Question number | Answer | Mark |
|---|---|---|

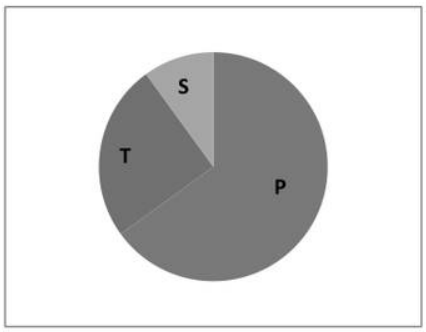
Type MS · What shifts the demand curve

Answer 6 of 14 · Question 3 part a · 1 mark

2021 JUN · Paper 01 · extract 1 of 5 · find part a in this mark scheme extract

| | | |
|---|---|---|
| **3(a)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**B** Demographic changes<br><br>A is not correct because this would affect the supply curve<br>C is not correct because this would affect the costs of production<br>D is not correct because this would cause a movement along | **(1)** |

| Question Number | Which **one** of the following is an example of an external cost?<br><br>Answer | Mark |
|---|---|---|
| **3(b)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**B** Litter<br><br>A is not correct because this is an external benefit<br>C is not correct because it is a private cost<br>D is not correct because it is not an external cost | **(1)** |

| Question Number | On the blank pie chart below, draw and label the appropriate sizes of the primary (P), secondary (S) and tertiary (T) sectors for a developing economy such as Haiti.<br><br>Answer | Mark |
|---|---|---|
| **3(c)** | **AO2 3 marks**<br><br>Award 1 mark for the Primary sector (P) being the biggest **(1)**<br>Award 1 mark for the Primary sector (P) being greater than 50% **(1)**<br>Award 1 mark for the remaining smaller portion being divided between the Tertiary (T) and the Secondary (S) sectors **(1)**<br><br>  <br> | **(3)** |

## Type MS · What shifts the demand curve

Answer 6 of 14 · Question 3 part a · 1 mark

2021 JUN · Paper 01 · extract 2 of 5 · find part a in this mark scheme extract

| Question Number | With reference to the data above and your knowledge of economics, analyse how market forces can remove excess supply.<br><br>Indicative content |
|---|---|
| **3(d)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Excess supply is where supply is greater than demand and there are unsold products in the market<br>• Market forces refer to supply and demand, as well as how they determine the allocation of scarce resources and price<br>• Where there is excess supply at 10 000 Kip, price will fall as a result of supply being greater than demand<br>• Therefore, at 10 000 Kip, eight LOCA drivers wanted to offer journeys but only four passengers wanted to buy<br>• If drivers lowered their price to 8 000 Kip the excess supply would be removed<br>• Demand rises as the price falls, until the equilibrium price of 8 000 Kip and the equilibrium quantity of six journeys is reached |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

## Type MS · What shifts the demand curve

### Answer 6 of 14 · Question 3 part a · 1 mark

2021 JUN · Paper 01 · extract 3 of 5 · find part a in this mark scheme extract

| Question Number | With reference to the data above and your knowledge of economics, assess the benefits to Norway of the government funding all education.<br><br>Indicative content |
|---|---|
| **3(e)** | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br>• Private benefits + external benefits = social benefits<br>• Education is an external benefit because it has a positive spillover effect<br>• This means that the students who gain education at universities in Norway can benefit third parties in the future<br>• This is because the students can obtain more highly skilled jobs as a result of the education, which can be beneficial to the wider society<br>• As a result, the standard of living in a country, such as Norway, may be better and productivity may be higher<br>• Unemployment may therefore be reduced, as shown by the low rate in Norway, meaning there would be fewer costs to the government, and so it may be cheaper to pay for the education instead of welfare benefits<br><br>**AO4**<br><br>• There could be an opportunity cost. The money spent on education could be used for other needs such as healthcare<br>• It will take time for the benefits of education to be enjoyed by others in the country<br>• The students may not stay in Norway, meaning the benefits are enjoyed elsewhere and the cost is not offset by future social benefits<br>• It is sometimes difficult to quantify and to give a monetary value to external benefits<br>• It depends on other factors whether students become employed in successful jobs which can benefit society |

## Type MS · What shifts the demand curve

Answer 6 of 14 · Question 3 part a · 1 mark

2021 JUN · Paper 01 · extract 4 of 5 · find part a in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

## Type MS · What shifts the demand curve

### Answer 6 of 14 · Question 3 part a · 1 mark

2021 JUN · Paper 01 · extract 5 of 5 · find part a in this mark scheme extract

| Question Number | Calculate, to two decimal places, **the percentage change in the population** in Austria between 2000 and 2018. You are advised to show your working.<br><br>Answer | Mark |
|---|---|---|

Type MS · What shifts the demand curve

Answer 7 of 14 · Question 3 part d · 6 marks

2021 NOV · Paper 01 · extract 1 of 7 · find part d in this mark scheme extract

| | | |
|---|---|---|
| **3(a)** | **AO1 1 mark**<br>The only correct answer is:<br>**C** Lack of information<br><br>A is not correct because this will fill skills shortages<br>B is not correct because this will lead to greater efficiency<br>D is not correct because this improves productivity | **(1)** |

| Question number | Answer | Mark |
|---|---|---|
| **3(b)** | **AO1 1 mark**<br>The only correct answer is:<br>**D** Sales assistant<br><br>A is not correct because this role is in the primary sector<br>B is not correct because this role is in the secondary sector<br>C is not correct because this role produces primary products | **(1)** |

Type MS · What shifts the demand curve

Answer 7 of 14 · Question 3 part d · 6 marks

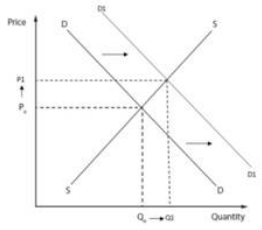
2021 NOV · Paper 01 · extract 2 of 7 · find part d in this mark scheme extract

| Question number | Answer | Mark |
|---|---|---|
| 3(c) | **AO2 3 marks**<br><br>Award 1 mark for drawing new wage rate, labelled<br>Award 1 mark for new quantity demanded, labelled<br>Award 1 mark for new quantity supplied, labelled<br><br>  <br> | (3) |

Type MS · What shifts the demand curve

Answer 7 of 14 · Question 3 part d · 6 marks

2021 NOV · Paper 01 · extract 3 of 7 · find part d in this mark scheme extract

| Question number | Indicative content |
|---|---|
| 3(d) | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• A demand curve shows how much of a good will be purchased at different prices<br>• Advertising is one of the factors likely to shift a demand curve to the right (increase in quantity demanded)<br>• Possible use of a diagram:<br>  <br><br><br>• Worldwide advertising during a popular event, such as an international cricket match, may encourage consumers to purchase Pepsi due to greater awareness and brand loyalty, therefore increasing the quantity demanded<br>• The quantity of Pepsi demanded is likely to have increased as a result of the advertising (from $Q_e$ to $Q_1$) because consumers of soft drinks may be influenced by the adverts and make an association between Pepsi and the cricket |

## Type MS · What shifts the demand curve

Answer 7 of 14 · Question 3 part d · 6 marks

2021 NOV · Paper 01 · extract 4 of 7 · find part d in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

Type MS · What shifts the demand curve

Answer 7 of 14 · Question 3 part d · 6 marks

2021 NOV · Paper 01 · extract 5 of 7 · find part d in this mark scheme extract

| Question number | Indicative content |
|---|---|
| 3(e) | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br>• The supply of labour is the amount of time a worker is willing and able to work at a given wage rate, over a given period of time<br>• By increasing the retirement age people will have to work longer before they can receive a state pension<br>• In Singapore, 62-, 63- and 64-year-olds will need to continue to work after the change to the age of retirement comes into effect<br>• This means that there will be an increase in the supply of labour<br>• As there are more people living to 80+, this will mean the increase in the retirement age will be effective in increasing the supply of labour<br><br>**AO4**<br><br>• However, a higher retirement age may not be the most effective method of increasing the labour supply in the manufacturing sector, which is significant in Singapore<br>• This is because this sector may require younger employees to carry out the roles required within the industry<br>• Other factors such as lowering the school-leaving age, migration or female participation may be more effective<br>• Increasing skills and qualifications of employees may also be more effective, especially if the financial services industry continues to grow in Singapore<br>• This is because the nature of the industry means being skilled in financial services may lead to employees who are able to supply a greater amount of labour than older employees |

Type MS · What shifts the demand curve

Answer 7 of 14 · Question 3 part d · 6 marks

2021 NOV · Paper 01 · extract 6 of 7 · find part d in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

## Type MS · What shifts the demand curve

### Answer 7 of 14 · Question 3 part d · 6 marks

2021 NOV · Paper 01 · extract 7 of 7 · find part d in this mark scheme extract

| Question number | Answer | Mark |
|---|---|---|

Type MS · What shifts the demand curve

Answer 8 of 14 · Question 1 part d · 1 mark

2022 JUN · Paper 01 (regional R) · extract 1 of 5 · find part d in this mark scheme extract

| | | |
|---|---|---|
| **1(a)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**A** Division of labour<br><br>B is not correct because this is creating products from new ideas<br>C is not correct because this is using more labour during production than capital<br>D is not correct because this relates to the rate of production due to given resources | **(1)** |

| Question number | Answer | Mark |
|---|---|---|
| **1(b)** | **AO2 1 mark**<br><br>The only correct answer is:<br>**D** Total revenue<br><br>A is not correct because this is $10<br>B is not correct because only variable costs are shown, not fixed costs<br>C is not correct because this would be total revenue – total costs | **(1)** |

| Question number | Answer | Mark |
|---|---|---|
| **1(c)** | **AO1 2 marks**<br><br>Award 1 mark for reference to an increase in demand and 1 mark for reference to decreased income<br><br>Goods for which demand will increase **(1)** as incomes decrease **(1)**<br><br>**OR**<br><br>Goods for which demand will decrease **(1)** as incomes increase **(1)**<br><br>Accept any other appropriate response | **(2)** |

Type MS · What shifts the demand curve

Answer 8 of 14 · Question 1 part d · 1 mark

2022 JUN · Paper 01 (regional R) · extract 2 of 5 · find part d in this mark scheme extract

| Question number | Answer | Mark |
|---|---|---|
| 1(d) | **AO1 1 mark**<br><br>Award 1 mark for correct reason<br><br>• Negative advertising<br>• Fall in income<br>• Negative fashion/taste change<br>• Fall in price of substitute goods<br>• Rise in price of complementary goods<br>• Decrease in the population<br><br>Accept any other appropriate response | **(1)** |

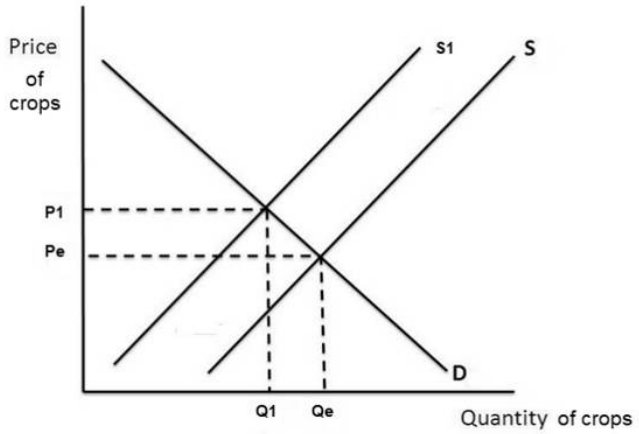
| Question number | Answer | Mark |
|---|---|---|
| 1(e) | **AO1 1 mark**<br><br>Award 1 mark for a correct definition<br><br>Converting resources into goods or services<br><br>Accept any other appropriate response | **(1)** |

| | Answer | Mark |
|---|---|---|
| 1(f) | **AO2 2 marks**<br><br>Award 1 mark for showing correct calculation<br>-2.1%/1.6% **(1)**<br><br>Award 1 mark for correct PED<br>= -1.31 **(1)**<br><br>Award 2 marks if PED is correctly calculated as -1.31, even if no calculations are shown<br><br>Do not award marks for a formula | **(2)** |

Type MS · What shifts the demand curve

Answer 8 of 14 · Question 1 part d · 1 mark

2022 JUN · Paper 01 (regional R) · extract 3 of 5 · find part d in this mark scheme extract

| Question number | Answer | Mark |
|---|---|---|
| 1(g) | **AO2 3 marks**<br><br>Award 1 mark for leftward shift of supply, labelled<br>Award 1 mark for higher equilibrium price, labelled<br>Award 1 mark for lower equilibrium quantity, labelled<br><br>  <br> | (3) |

| Question number | Answer | Mark |
|---|---|---|
| 1(h) | **AO2 3 marks**<br><br>Award 1 mark for identifying a reason<br>Award 1 mark for developing the response<br>Award 1 mark for the response being in context<br><br>• As China has become more developed, demand for services has increased **(1)** because people demand more of things like education and health care as the economy grows **(1)** therefore employment is likely to transfer from the primary sector towards the tertiary sector **(1)**<br><br>Accept any other appropriate response | (3) |

Type MS · What shifts the demand curve

Answer 8 of 14 · Question 1 part d · 1 mark

2022 JUN · Paper 01 (regional R) · extract 4 of 5 · find part d in this mark scheme extract

| Question number | Indicative content |
|---|---|
| 1(i) | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• It is an economic assumption that businesses aim to maximise profits<br>• It may take time to find suitable ways of reducing the overall amount of plastic used by 100,000 tonnes, which is likely to result in higher costs<br>• By reducing the amount of non-recyclable plastic packaging it uses, Unilever is likely to incur higher costs as it uses the more expensive recyclable plastic<br>• Unilever may need to source alternative suppliers to replace the remaining 600,000 tonnes of plastic packaging<br>• This means that Unilever will not maximise profits |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

## Type MS · What shifts the demand curve

### Answer 8 of 14 · Question 1 part d · 1 mark

2022 JUN · Paper 01 (regional R) · extract 5 of 5 · find part d in this mark scheme extract

| Question number | Answer | Mark |
|---|---|---|

Type MS · What shifts the demand curve

Answer 9 of 14 · Question 2 part e · 1 mark

2023 JUN · Paper 01 · extract 1 of 6 · find part e in this mark scheme extract

| | | |
|---|---|---|
| **2(a)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**B** Excess supply<br><br>A is not correct because this would lead to a shortage of goods in the market<br>C is not correct because lower prices may be needed to sell unsold goods<br>D is not correct because this would not result from unsold goods in the market | **(1)** |

| **Question number** | Which **one** of the following statements is correct?<br>**Answer** | **Mark** |
|---|---|---|
| **2(b)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**C** Quantity supplied will fall when price falls<br><br>A is not correct because this is only true when supply is fixed<br>B is not correct because supply is affected by changes in price<br>D is not correct because the supply curve does not shift due to a price change | **(1)** |

| **Question number** | State the name for price elasticity of demand (PED) with a numerical value of -1.<br>**Answer** | **Mark** |
|---|---|---|
| **2(c)** | **AO1 1 mark**<br><br>Award 1 mark for the correct type of price elasticity of demand (PED)<br><br>• Unitary | **(1)** |

Type MS · What shifts the demand curve

Answer 9 of 14 · Question 2 part e · 1 mark

2023 JUN · Paper 01 · extract 2 of 6 · find part e in this mark scheme extract

| Question number | Calculate, to two decimal places, the **price elasticity of supply (PES)** for shoes. You are advised to show your working.<br>**Answer** | Mark |
|---|---|---|
| 2(d) | **AO2 2 marks**<br><br>Award 1 mark for showing correct calculation<br>-2.7%/-1.9% **(1)**<br><br>Award 1 mark for correct PES<br>1.42 **(1)**<br><br>Award 2 marks if PES is correctly calculated as 1.42, even if no calculations are shown<br><br>Do not award marks for a formula | **(2)** |

| Question number | Define the term substitute.<br>**Answer** | Mark |
|---|---|---|
| 2(e) | **AO1 1 mark**<br><br>Award 1 mark for a correct definition<br><br>• An alternative bought/produced in place of something else<br><br>Accept any other appropriate response | **(1)** |

| Question number | Describe **one** reason why a firm might stay small.<br>**Answer** | Mark |
|---|---|---|
| 2(f) | **AO1 2 marks**<br><br>Award 1 mark for reference to the reason and 1 mark for development of the reason<br><br>• It may already be making enough money **(1)** to satisfy the needs of the owner **(1)**<br><br>• The size of the market may be small **(1)** which means expansion is difficult **(1)**<br><br>Accept any other appropriate response | **(2)** |

Type MS · What shifts the demand curve

Answer 9 of 14 · Question 2 part e · 1 mark

2023 JUN · Paper 01 · extract 3 of 6 · find part e in this mark scheme extract

| Question number | Explain **one** advantage of positive reviews for the owners of food stalls in Taba.<br>**Answer** | Mark |
|---|---|---|
| 2(g) | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant advantage<br>Award 1 mark for developing the advantage<br>Award 1 mark for the advantage being in context<br><br>• Stalls offering quality food will gain more customers **(1)** because customers will be attracted by the positive reviews **(1)** instead of buying from competitors **(1)**<br><br>• Demand will increase for food from these stalls **(1)** leading to an increase in revenue **(1)** which will increase profit for the food stall owners **(1)**<br><br>Accept any other appropriate response | **(3)** |

Type MS · What shifts the demand curve

Answer 9 of 14 · Question 2 part e · 1 mark

2023 JUN · Paper 01 · extract 4 of 6 · find part e in this mark scheme extract

| Question number | With reference to the data above and your knowledge of economics, assess whether a monopoly such as PKP is likely to benefit consumers.<br>**Indicative content** |
|---|---|
| 2(h) | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• A monopoly is a market structure with one dominant seller in the market<br>• PKP is the main rail carrier for passenger and freight services in Poland, making it a monopoly<br>• Due to its dominance of the rail network in Poland, PKP may be able to take advantage of economies of scale<br>• This means that the firm may have low (long-run) average costs as a result of purchasing or technical economies of scale<br>• Therefore, it is possible that PKP could decide to pass the lower costs on to its passengers in the form of lower prices<br>• PKP may also be more efficient because it is not duplicating resources, such as the railway tracks, used by competitors<br>• This may have helped PKP to meet the transport needs of the state; one of its aims<br>• PKP may also be able to innovate due to its lower (long-run) average costs, meaning it may be able to provide a high-quality service on its trains<br><br>**AO4**<br><br>• However, as it has few competitors, rail passengers and those transporting freight have little choice but to use PKP's service<br>• This means PKP can be a price maker for its train services, which is not in the interest of its consumers<br>• There is restricted choice in the market, such as which routes a passenger can take. This is because there is only one main supplier<br>• PKP may be inefficient because it does not need to keep its costs low in order to compete with limited competition<br>• It may be that PKP does not have any incentive to spend money on product innovation and some areas may not have access to train travel |

## Type MS · What shifts the demand curve

### Answer 9 of 14 · Question 2 part e · 1 mark

2023 JUN · Paper 01 · extract 5 of 6 · find part e in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

## Type MS · What shifts the demand curve

### Answer 9 of 14 · Question 2 part e · 1 mark

2023 JUN · Paper 01 · extract 6 of 6 · find part e in this mark scheme extract

| Question number | | Mark |
|---|---|---|
| | Income elasticity of demand (YED) for a product is -0.43 and the price elasticity of demand (PED) for the same product is -0.27.<br><br>The data above shows that the product is<br>**Answer** | |

Type MS · What shifts the demand curve

Answer 10 of 14 · Question 2 part g · 3 marks

2023 JUN · Paper 01 · extract 1 of 6 · find part g in this mark scheme extract

| | | |
|---|---|---|
| **2(a)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**B** Excess supply<br><br>A is not correct because this would lead to a shortage of goods in the market<br>C is not correct because lower prices may be needed to sell unsold goods<br>D is not correct because this would not result from unsold goods in the market | **(1)** |

| **Question number** | Which **one** of the following statements is correct?<br>**Answer** | **Mark** |
|---|---|---|
| **2(b)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**C** Quantity supplied will fall when price falls<br><br>A is not correct because this is only true when supply is fixed<br>B is not correct because supply is affected by changes in price<br>D is not correct because the supply curve does not shift due to a price change | **(1)** |

| **Question number** | State the name for price elasticity of demand (PED) with a numerical value of -1.<br>**Answer** | **Mark** |
|---|---|---|
| **2(c)** | **AO1 1 mark**<br><br>Award 1 mark for the correct type of price elasticity of demand (PED)<br><br>• Unitary | **(1)** |

Type MS · What shifts the demand curve

Answer 10 of 14 · Question 2 part g · 3 marks

2023 JUN · Paper 01 · extract 2 of 6 · find part g in this mark scheme extract

| Question number | Calculate, to two decimal places, the **price elasticity of supply (PES)** for shoes. You are advised to show your working.<br>**Answer** | Mark |
|---|---|---|
| 2(d) | **AO2 2 marks**<br><br>Award 1 mark for showing correct calculation<br>-2.7%/-1.9% **(1)**<br><br>Award 1 mark for correct PES<br>1.42 **(1)**<br><br>Award 2 marks if PES is correctly calculated as 1.42, even if no calculations are shown<br><br>Do not award marks for a formula | **(2)** |

| Question number | Define the term substitute.<br>**Answer** | Mark |
|---|---|---|
| 2(e) | **AO1 1 mark**<br><br>Award 1 mark for a correct definition<br><br>• An alternative bought/produced in place of something else<br><br>Accept any other appropriate response | **(1)** |

| Question number | Describe **one** reason why a firm might stay small.<br>**Answer** | Mark |
|---|---|---|
| 2(f) | **AO1 2 marks**<br><br>Award 1 mark for reference to the reason and 1 mark for development of the reason<br><br>• It may already be making enough money **(1)** to satisfy the needs of the owner **(1)**<br><br>• The size of the market may be small **(1)** which means expansion is difficult **(1)**<br><br>Accept any other appropriate response | **(2)** |

## Type MS · What shifts the demand curve

### Answer 10 of 14 · Question 2 part g · 3 marks

2023 JUN · Paper 01 · extract 3 of 6 · find part g in this mark scheme extract

| Question number | Explain **one** advantage of positive reviews for the owners of food stalls in Taba.<br>**Answer** | Mark |
|---|---|---|
| 2(g) | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant advantage<br>Award 1 mark for developing the advantage<br>Award 1 mark for the advantage being in context<br><br>• Stalls offering quality food will gain more customers **(1)** because customers will be attracted by the positive reviews **(1)** instead of buying from competitors **(1)**<br><br>• Demand will increase for food from these stalls **(1)** leading to an increase in revenue **(1)** which will increase profit for the food stall owners **(1)**<br><br>Accept any other appropriate response | **(3)** |

Type MS · What shifts the demand curve

Answer 10 of 14 · Question 2 part g · 3 marks

2023 JUN · Paper 01 · extract 4 of 6 · find part g in this mark scheme extract

| Question number | With reference to the data above and your knowledge of economics, assess whether a monopoly such as PKP is likely to benefit consumers.<br>**Indicative content** |
|---|---|
| 2(h) | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• A monopoly is a market structure with one dominant seller in the market<br>• PKP is the main rail carrier for passenger and freight services in Poland, making it a monopoly<br>• Due to its dominance of the rail network in Poland, PKP may be able to take advantage of economies of scale<br>• This means that the firm may have low (long-run) average costs as a result of purchasing or technical economies of scale<br>• Therefore, it is possible that PKP could decide to pass the lower costs on to its passengers in the form of lower prices<br>• PKP may also be more efficient because it is not duplicating resources, such as the railway tracks, used by competitors<br>• This may have helped PKP to meet the transport needs of the state; one of its aims<br>• PKP may also be able to innovate due to its lower (long-run) average costs, meaning it may be able to provide a high-quality service on its trains<br><br>**AO4**<br><br>• However, as it has few competitors, rail passengers and those transporting freight have little choice but to use PKP's service<br>• This means PKP can be a price maker for its train services, which is not in the interest of its consumers<br>• There is restricted choice in the market, such as which routes a passenger can take. This is because there is only one main supplier<br>• PKP may be inefficient because it does not need to keep its costs low in order to compete with limited competition<br>• It may be that PKP does not have any incentive to spend money on product innovation and some areas may not have access to train travel |

## Type MS · What shifts the demand curve

### Answer 10 of 14 · Question 2 part g · 3 marks

2023 JUN · Paper 01 · extract 5 of 6 · find part g in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

## Type MS · What shifts the demand curve

### Answer 10 of 14 · Question 2 part g · 3 marks

2023 JUN · Paper 01 · extract 6 of 6 · find part g in this mark scheme extract

| Question number | | Mark |
|---|---|---|
| | Income elasticity of demand (YED) for a product is -0.43 and the price elasticity of demand (PED) for the same product is -0.27.<br><br>The data above shows that the product is<br>**Answer** | |

Type MS · What shifts the demand curve

Answer 11 of 14 · Question 1 part b · 1 mark

2023 NOV · Paper 01 · extract 1 of 5 · find part b in this mark scheme extract

| | | |
|---|---|---|
| 1(a) | **AO1 1 mark**<br><br>The only correct answer is:<br>**D** working conditions<br><br>A is not correct because trade unions do not focus on the objectives of firms<br>B is not correct because the government does not receive revenue due to trade union actions<br>C is not correct because the environment is not a focus of trade union activity | **(1)** |

| **Question number** | Figure 1 below shows a change in demand for tickets to a sporting event. Which **one** of the following statements is true?<br><br>**Answer** | **Mark** |
|---|---|---|
| 1(b) | **AO2 1 mark**<br><br>The only correct answer is:<br><br>**C** An increase in demand is shown by a shift to the right<br><br>A is not correct because when the price falls, the quantity demanded rises<br>B is not correct because the demand curve slopes downwards from left to right<br>D is not correct because a decrease in demand is shown by a shift to the left | **(1)** |

| **Question number** | What is meant by the term economies of scale?<br><br>**Answer** | **Mark** |
|---|---|---|
| 1(c) | **AO1 2 marks**<br><br>Award up to 2 marks for a correct definition<br><br>Falling average costs **(1)** due to expansion of the firm **(1)**<br><br>Accept any other appropriate response | **(2)** |

Type MS · What shifts the demand curve

Answer 11 of 14 · Question 1 part b · 1 mark

2023 NOV · Paper 01 · extract 2 of 5 · find part b in this mark scheme extract

| Question number | State **one** main feature of an oligopoly.<br><br>**Answer** | Mark |
|---|---|---|
| 1(d) | **AO1 1 mark**<br><br>Award 1 mark for a correct feature<br><br>• Few firms<br>• Large firms dominate<br>• Different products<br>• Barriers to entry<br>• Collusion<br>• Price competition<br>• Non-price competition<br><br>Accept any other appropriate response | **(1)** |

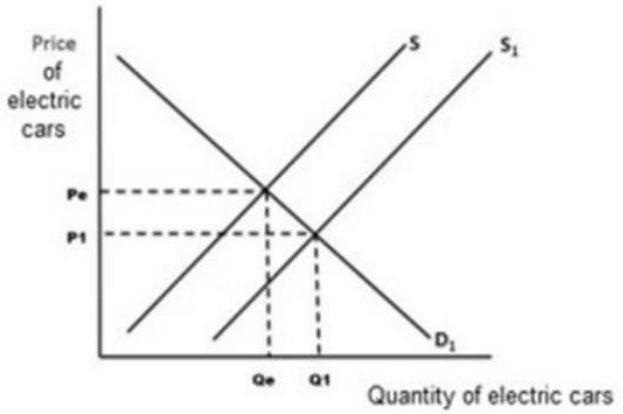
| Question number | Define the term excess supply<br><br>**Answer** | Mark |
|---|---|---|
| 1(e) | **AO1 1 mark**<br><br>Award 1 mark for a correct definition<br><br>• Where supply is greater than demand<br><br>Accept any other appropriate response | **(1)** |

| Question number | Calculate, to two decimal places, the **price elasticity of supply (PES)** for the firm. You are advised to show your working.<br><br>**Answer** | Mark |
|---|---|---|
| 1(f) | **AO2 2 marks**<br><br>Award 1 mark for showing correct calculation<br>4.3%/3.7% **(1)**<br><br>Award 1 mark for correct price elasticity of supply<br>= 1.16 **(1)**<br><br>Award 2 marks if price elasticity of supply is correctly calculated as 1.16, even if no calculations are shown<br><br>Do not award marks for a formula | **(2)** |

Type MS · What shifts the demand curve

Answer 11 of 14 · Question 1 part b · 1 mark

2023 NOV · Paper 01 · extract 3 of 5 · find part b in this mark scheme extract

| Question number | Using the diagram below, draw the likely effects on the market for electric cars following the introduction of a subsidy on electric cars. Label the new curve, the new equilibrium price and the new equilibrium quantity.<br><br>**Answer** | **Mark** |
|---|---|---|
| **1(g)** | **AO2 3 marks**<br><br>Award 1 mark for a rightward shift of the supply curve, labelled<br>Award 1 mark for a lower equilibrium price, labelled<br>Award 1 mark for a higher equilibrium quantity, labelled<br><br>  | **(3)** |

| Question number | Explain **one** possible advantage of privatisation for consumers in Brazil.<br><br>**Answer** | **Mark** |
|---|---|---|
| **1(h)** | **AO2 3 marks**<br><br>Award 1 mark for identifying an advantage<br>Award 1 mark for developing the response<br>Award 1 mark for the response being in context<br><br>• Consumers may benefit from lower prices **(1)** because a private firm is likely to want to be efficient **(1)** so it will aim to produce food at its lowest possible cost **(1)**<br><br>• Better quality may be available to consumers **(1)** because private firms will aim to make a profit **(1)** meaning they need to retain customers by providing quality food products **(1)**<br><br>Accept any other appropriate response | **(3)** |

Type MS · What shifts the demand curve

Answer 11 of 14 · Question 1 part b · 1 mark

2023 NOV · Paper 01 · extract 4 of 5 · find part b in this mark scheme extract

| Question number | With reference to the data above and your knowledge of economics, analyse how market failure is likely to occur at the TSFG venue.<br><br>**Indicative content** |
|---|---|
| 1(i) | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Market failure exists where resources are not allocated efficiently<br>• Examples of market failure include externalities, missing markets, lack of information, factor immobility and lack of competition<br>• There is a lack of competition selling food and drinks at the TSFG, meaning customers have limited choice of where to buy refreshments inside the grounds<br>• This means higher prices can be charged because customers cannot get refreshments anywhere else<br>• As people spend several hours at the venue, they are likely to need something to eat and/or drink during their visit<br>• Therefore, the high prices and reduced choice leads to an inefficient allocation of resources |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

Type MS · What shifts the demand curve

Answer 11 of 14 · Question 1 part b · 1 mark

2023 NOV · Paper 01 · extract 5 of 5 · find part b in this mark scheme extract

| Question number | A firm employing 135 workers has a total output of 33,750 units each month. What is the monthly labour productivity of the firm?<br><br>**Answer** | Mark |
|---|---|---|

## Type MS · What shifts the demand curve

Answer 12 of 14 · Question 3 part a · 1 mark

2024 NOV · Paper 01 · extract 1 of 6 · find part a in this mark scheme extract

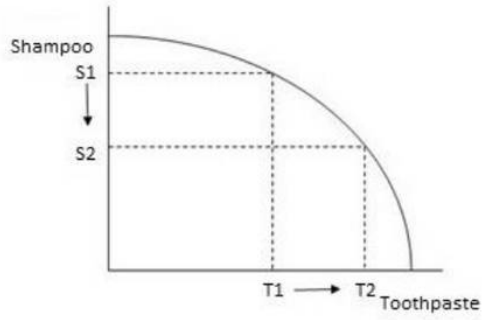
| | | |
|---|---|---|
| **3(a)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**D** Decreased incomes<br><br>A is not correct because this would increase demand<br>B is not correct because this would increase supply<br>C is not correct because this would reduce supply | **(1)** |

| **Question number** | Which **one** of the following best describes the type of goods with an income elasticity of demand (YED) of -1.3?<br><br>**Answer** | **Mark** |
|---|---|---|
| **3(b)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**A** Inferior<br><br>B is not correct because unitary goods have a numerical value equal to 1 or -1<br>C is not correct because this would have a high positive numerical value<br>D is not correct because this would have a positive numerical value | **(1)** |

## Type MS · What shifts the demand curve

Answer 12 of 14 · Question 3 part a · 1 mark

2024 NOV · Paper 01 · extract 2 of 6 · find part a in this mark scheme extract

| Question number | In the box below, draw a production possibility curve (PPC) for a firm that can produce shampoo and/or toothpaste. On your PPC, draw and label what would happen if production of toothpaste was increased.<br><br>**Answer** | Mark |
|---|---|---|
| 3(c) | **AO2 3 marks**<br><br>Award 1 mark for drawing a production possibility curve (PPC) with correctly labelled axes<br>Award 1 mark for showing a decrease in shampoo on the PPC<br>Award 1 mark for showing an increase in toothpaste on the PPC<br>  <br> | (3) |

## Type MS · What shifts the demand curve

Answer 12 of 14 · Question 3 part a · 1 mark

2024 NOV · Paper 01 · extract 3 of 6 · find part a in this mark scheme extract

| Question number | With reference to the data above and your knowledge of economics, analyse the likely impact of an increase in the national minimum wage on the supply of labour in Barbados.<br><br>**Indicative content** |
|---|---|
| **3(d)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• The minimum wage in Barbados increased by $2.25 (36%) per hour<br>• This means that a higher income is received by people who may have struggled with basic needs if the national minimum wage was left at $6.25/hour<br>• A 36% increase could be quite a substantial increase in the wages earned for some people in Barbados<br>• Therefore, more workers would be encouraged to work because they can enjoy a higher standard of living<br>• Thus, there is likely to be an increase in the quantity of labour supplied |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

Type MS · What shifts the demand curve

Answer 12 of 14 · Question 3 part a · 1 mark

2024 NOV · Paper 01 · extract 4 of 6 · find part a in this mark scheme extract

| Question number | With reference to the data above and your knowledge of economics, assess the importance of the quality of labour on productivity in a country.<br><br>**Indicative content** |
|---|---|
| 3(e) | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Quality of labour may increase as a result of education because workers would be able to develop skills with which they could become more efficient in the tasks needed to produce goods and services in the workplace<br>• Therefore, workers are likely to be able to produce more goods and services in a shorter period of time, leading to lower costs of production for firms<br>• This increase in productivity means that a firm may be able to enjoy higher profits due to lower costs, as well as a possible increase in revenue, if more products are available to sell<br>• An increase in immigration may lead to an increase in the quantity and quality of labour supplied<br>• This may result in increased competition between workers to provide the most efficient labour to firms in order to reduce their costs of production<br>• This may mean that some workers may aim to increase their education to become more productive<br><br>**AO4**<br><br>• However, it takes time for education to become effective as periods of study need to be completed before being used in the workplace<br>• This means that education may only impact productivity at a later date, making it difficult to measure its impact<br>• Skilled workers may emigrate, taking their ability to increase efficiency for a firm with them<br>• Immigration which increases the supply of skilled labour may lead to a reduction in wages, potentially demotivating workers and discouraging productivity<br>• Therefore, productivity may not always increase due to quality of labour, at least not in the short-run<br>• It may depend on the country and the levels of productivity within it or on technological advances in capital or land use |

## Type MS · What shifts the demand curve

Answer 12 of 14 · Question 3 part a · 1 mark

2024 NOV · Paper 01 · extract 5 of 6 · find part a in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

## Type MS · What shifts the demand curve

Answer 12 of 14 · Question 3 part a · 1 mark

2024 NOV · Paper 01 · extract 6 of 6 · find part a in this mark scheme extract

| Question number | Calculate, the **excess demand** for the product for the first three months of 2024, if the quantity supplied during each month was 11,000 (33,000 in total). You are advised to show your working.<br><br>**Answer** | **Mark** |
|---|---|---|

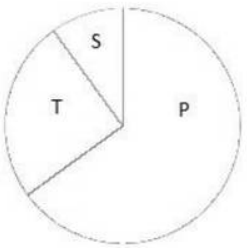
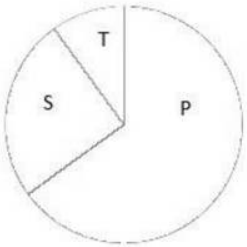
Type MS · What shifts the demand curve

Answer 13 of 14 · Question 3 part a · 1 mark

2025 JUN · Paper 01 (regional R) · extract 1 of 5 · find part a in this mark scheme extract

| | | |
|---|---|---|
| **3(a)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**C** Price of substitute goods<br><br>A is not correct because this would affect the costs of production<br>B is not correct because this would not shift the demand curve<br>D is not correct because this would affect the supply curve | **(1)** |

| **Question number** | Which **one** of the following is an example of an external cost?<br><br>**Answer** | **Mark** |
|---|---|---|
| **3(b)** | **AO1 1 mark**<br><br>The only correct answer is:<br>**A** Litter<br><br>B is not correct because this is a private cost<br>C is not correct because this is not an external cost<br>D is not correct because this is an external benefit | **(1)** |

| **Question number** | On the blank pie chart below, draw and label the appropriate sizes of the primary (P), secondary (S) and tertiary (T) sectors for a developing country such as Nepal.<br><br>**Answer** | **Mark** |
|---|---|---|
| **3(c)** | **AO2 3 marks**<br><br>Award 1 mark for the primary sector (P) being the biggest **(1)**<br>Award 1 mark for the primary sector (P) being greater than or equal to 50% **(1)**<br>Award 1 mark for the remaining portion being divided between the tertiary (T) and the secondary (S) sector **(1)**<br><br>  <br><br>OR<br>  <br> | **(3)** |

## Type MS · What shifts the demand curve

### Answer 13 of 14 · Question 3 part a · 1 mark

2025 JUN · Paper 01 (regional R) · extract 2 of 5 · find part a in this mark scheme extract

| Question number | With reference to the data above and your knowledge of economics, analyse how market forces should remove excess demand.<br><br>**Indicative content** |
|---|---|
| **3(d)** | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• When excess demand occurs, there are not enough tickets available in the market<br>• As not enough tickets are supplied at 1 500 krona, price will rise as a result of demand being greater than supply<br>• Therefore, at 1 500 krona, 8,000 tickets would be demanded but only a maximum of 6,000 tickets would be available at an event<br>• If the price increased to 2 000 krona, the excess demand would be removed<br>• Demand falls as the price increases, until the equilibrium price of 2 000 krona and the equilibrium of 6,000 tickets is reached |

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–2 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). |
| **Level 2** | 3–4 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). |
| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

Type MS · What shifts the demand curve

Answer 13 of 14 · Question 3 part a · 1 mark

2025 JUN · Paper 01 (regional R) · extract 3 of 5 · find part a in this mark scheme extract

| Question number | With reference to the data above and your knowledge of economics, assess the benefits to Indonesia of the government increasing its healthcare spending.<br><br>**Indicative content** |
|---|---|
| 3(e) | **AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)**<br><br>**AO2 and AO3**<br><br>• Healthcare is an external benefit because it has a positive spillover effect<br>• This means that the people who receive healthcare in Indonesia can provide a benefit to third parties<br>• This is because when people are healthy, they would be more likely to be able to perform their jobs and carry out activities in the economy, which can be beneficial to the wider society<br>• Therefore, firms are also more likely to be able to produce the standard/quality of goods and services demanded by people in Indonesia<br>• Economic growth has therefore increased, as shown by the better-than-expected rise, thus benefitting the people of Indonesia<br><br>**AO4**<br><br>• However, there could be an opportunity cost. The money spent on healthcare could be used for other needs such as education<br>• It will take time for the benefits of healthcare to be enjoyed by others in the country because people may not be able to return to work immediately, nor be guaranteed to be productive<br>• People may not stay in Indonesia, meaning the benefits are enjoyed elsewhere and the cost is not offset by future social benefits<br>• It is sometimes difficult to quantify and to give a monetary value to external benefits<br>• It depends on other factors whether people maintain/gain employment in jobs which can benefit society |

## Type MS · What shifts the demand curve

### Answer 13 of 14 · Question 3 part a · 1 mark

2025 JUN · Paper 01 (regional R) · extract 4 of 5 · find part a in this mark scheme extract

| Level | Mark | Descriptor |
|---|---|---|
| | 0 | No rewardable material. |
| **Level 1** | 1–3 | • Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).<br>• Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4). |
| **Level 2** | 4–6 | • Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).<br>• Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4). |
| **Level 3** | 7–9 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).<br>• Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4). |

## Type MS · What shifts the demand curve

### Answer 13 of 14 · Question 3 part a · 1 mark

2025 JUN · Paper 01 (regional R) · extract 5 of 5 · find part a in this mark scheme extract

| Question number | Calculate, to two decimal places, the **percentage change in the population** of Finland between 2021 and 2023. You are advised to show your working.<br><br>**Answer** | Mark |
|---|---|---|

Type MS · What shifts the demand curve

Answer 14 of 14 · Question 1 part e · 1 mark

2025 NOV · Paper 01 · extract 1 of 5 · find part e in this mark scheme extract

| | | |
|---|---|---|
| 1(a) | **AO1 1 mark**<br><br>The only correct answer is:<br>**C** Secondary<br><br>A is not correct because this is not a sector of the economy in which production occurs<br>B is not correct because this would involve the extraction of raw materials<br>D is not correct because this involves the use of services | **(1)** |

| **Question number** | Wood is an example of which **one** of the following factors of production?<br><br>**Answer** | **Mark** |
|---|---|---|
| 1(b) | **AO2 1 mark**<br><br>The only correct answer is:<br>**D** Land<br><br>A is not correct because this would be man-made<br>B is not correct because this would be the combining of factors<br>C is not correct because this would include workers | **(1)** |

| **Question number** | What is meant by the term total costs?<br><br>**Answer** | **Mark** |
|---|---|---|
| 1(c) | **AO1 2 marks**<br><br>Award up to 2 marks for a correct definition<br><br>(Total) fixed costs plus **(1)** (total) variable costs **(1)**<br><br>Accept any other appropriate response | **(2)** |

Type MS · What shifts the demand curve

Answer 14 of 14 · Question 1 part e · 1 mark

2025 NOV · Paper 01 · extract 2 of 5 · find part e in this mark scheme extract

| Question number | State the formula for social benefits.<br><br>Answer | Mark |
|---|---|---|
| 1(d) | **AO1 1 mark**<br><br>Award 1 mark for correct formula<br><br>Private benefits + external benefits<br><br>Accept any other appropriate response | **(1)** |

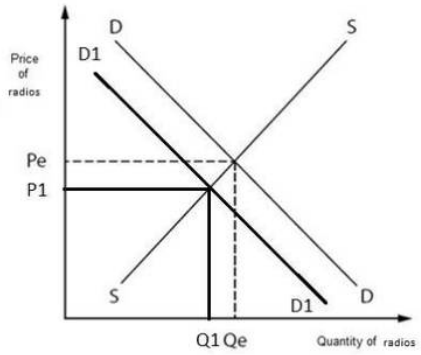
| Question number | Define the term substitute good.<br><br>Answer | Mark |
|---|---|---|
| 1(e) | **AO1 1 mark**<br><br>Award 1 mark for a correct definition<br><br>Goods bought as a suitable alternative to another good<br><br>Accept any other appropriate response | **(1)** |

| Question number | Calculate the **excess demand** in March for the sunglasses. You are advised to show your working.<br><br>Answer | Mark |
|---|---|---|
| 1(f) | **AO2 2 marks**<br><br>Award 1 mark for showing correct calculation<br><br>1,350 - (639 + 715 + 516) **(1)**<br><br>**OR**<br><br>1,350 - 1,870 **(1)**<br><br>Award 1 mark for calculating correct excess demand<br><br>= 520 (pairs of sunglasses) **(1)**<br><br>Award 2 marks if excess demand in March is correctly calculated as 520 even if no calculations are shown<br><br>Do not award marks for the formula | **(2)** |

Type MS · What shifts the demand curve

Answer 14 of 14 · Question 1 part e · 1 mark

2025 NOV · Paper 01 · extract 3 of 5 · find part e in this mark scheme extract

| Question number | Using the diagram below, draw the likely effect on the market for radios following a fall in their popularity. Label the new curve, the new equilibrium price and the new equilibrium quantity.<br><br>**Answer** | **Mark** |
|---|---|---|
| 1(g) | **AO2 3 marks**<br><br>Award 1 mark for a leftward shift of the demand curve, labelled<br>Award 1 mark for a lower equilibrium price, labelled<br>Award 1 mark for a lower equilibrium quantity, labelled<br><br>  <br> | **(3)** |

| Question number | Explain **one** reason why consumers may benefit as a result of mergers in the pharmaceutical industry.<br><br>**Answer** | **Mark** |
|---|---|---|
| 1(h) | **AO2 3 marks**<br><br>Award 1 mark for identifying a relevant reason<br>Award 1 mark for developing the reason<br>Award 1 mark for the response being in context<br><br>• Economies of scale may occur as a result of a merger **(1)** because the new and larger pharmaceutical firms may be able to buy ingredients in bulk at a lower cost **(1)** meaning consumers may benefit from lower prices being passed on by the firms **(1)**<br><br>Accept any other appropriate response | **(3)** |

Type MS · What shifts the demand curve

Answer 14 of 14 · Question 1 part e · 1 mark

2025 NOV · Paper 01 · extract 4 of 5 · find part e in this mark scheme extract

| Question number | With reference to the data above and your knowledge of economics, analyse the possible disadvantages faced by consumers from collusion between firms that provide accommodation for rent.<br><br>**Indicative content** |
|---|---|
| 1(i) | **AO2 (3 marks)/AO3 (3 marks)**<br><br>**AO2 and AO3**<br><br>• The anti-competitive practice of collusion means firms are able to act like a monopoly<br>• This means it is more difficult for new firms to enter the market and reduces choice for consumers/tenants<br>• Collusion to fix prices could lead to firms receiving higher profits at the expense of the tenant, who may have to pay more in rent<br>• Therefore, this could make it more difficult for tenants to find cheaper accommodation or to have a choice of the firm they rent from<br>• As many tenants are struggling to afford the rent they pay and over 1 million properties are affected, the impact on consumers is likely to be considerable |

| Level | Mark | Descriptor |
|---|---|---|
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| **Level 3** | 5–6 | • Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2).<br>• Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). |

## Type MS · What shifts the demand curve

Answer 14 of 14 · Question 1 part e · 1 mark

2025 NOV · Paper 01 · extract 5 of 5 · find part e in this mark scheme extract

| Question number | Which **one** of the following is the correct label to replace 'X'?<br><br>**Answer** | Mark |
|---|---|---|